

U.P. Power Corporation Ltd. v. Appellate Authority for Industrial & Financial Reconstruction & Ors.

High Court of Judicature at Allahabad · Single Judge · 23 January 2019 · WRIT - C No. - 8167 of 2009 · **Writ petition dismissed as devoid of merit. The Corporation, having been heard during and consented to the BIFR-sanctioned rehabilitation scheme (Clause 8(iii)) directing waiver of demand charges, was bound by it and by the BIFR/AAIFR orders; its statutory obligation under the Electricity Act, 2003 to recover tariff did not entitle it to resile. The writ was also barred for not availing the statutory appeal to the AAIFR under Section 25 SICA and for inordinate delay of four to five years.**

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HEADNOTE

U.P. Power Corporation Ltd. (a distribution licensee) challenged, by a writ filed in 2009, the AAIFR order dated 21 March 2005 and the BIFR orders dated 11 March 2004 and 14 December 2004 that had directed it to waive demand charges (Rs. 1,02,000 per month) qua a sick consumer-company, M/s Raunaq Automotive Components Ltd., under Clause 8(iii) of a rehabilitation scheme sanctioned under Section 18 of the Sick Industrial Companies (Special Provisions) Act, 1985 (SICA). The Corporation contended that, as a licensee under Section 14 of the Electricity Act, 2003 obliged to recover charges per the UPERC tariff (Section 45; Chapter VII), the scheme could not compel it to waive statutory charges, relying on *Indian Maize and Chemical Ltd. v. State of U.P.* The Allahabad High Court (Single Judge) dismissed the writ. It held the Corporation was bound by the scheme and the BIFR/AAIFR orders: it had been heard when the scheme was sanctioned and was represented at the appellate stage, it had consented within the meaning of Section 19(2) SICA, and *Indian Maize* was distinguishable because there the scheme had not been BIFR-sanctioned. The licensee's tariff-recovery obligation therefore did not permit it to resile from the waiver. Independently, the writ was not maintainable: an efficacious statutory remedy of appeal to the AAIFR under Section 25 SICA (including to assail the show-cause notice dated 25 February 2008) had not been availed, and the petition was filed almost five years after the BIFR orders and almost four years after the AAIFR order. As the scheme had been substantially implemented by everyone except the Corporation and the company had turned profitable, the Court was not inclined to interfere.

FACTUAL SUMMARY

M/s Raunaq Automotive Components Ltd. was a consumer of U.P. Power Corporation Ltd. with a sanctioned load of 800 KVA. Having suffered cash losses and full erosion of net worth by 31 March 2000, it made a mandatory reference under Section 15(1) SICA and was declared a 'sick industrial company' under Section 3(1)(o) by the BIFR on 22 June 2001. On 11 March 2004 the BIFR sanctioned a rehabilitation scheme under Section 18 SICA (IDBI as Monitoring Agency); Clause 8(iii) directed the Corporation to exempt the company from power cuts and to waive demand charges of Rs. 170 per KVA on 75% of the sanctioned load for five years from the cut-off date of 31 March 2003. When the Corporation did not extend the concessions and threatened disconnection, the BIFR clarified on 14 December 2004 that the waiver amounted to Rs. 1,02,000 per month; the company's appeal against that clarification was allowed by the AAIFR on 21 March 2005 (Appeal No. 4 of 2005), directing waiver for five years per Clause 8(iii). The company's net worth turned positive and it was discharged from SICA by order dated 5 November 2005. The company stopped paying bills in February 2008 and sought adjustment of Rs. 61.20 lakhs; on its application, the BIFR issued a show-cause notice to the Corporation on 25 February 2008, to which the Corporation replied on 25 March 2008 — contending for the first time that the reliefs were not in line with the Electricity Act, 2003 and with *Indian Maize and Chemical Ltd. v. State of U.P.*, 1997 (9) SCC 462, and seeking withdrawal of the notice. The Corporation filed this writ in 2009 assailing the AAIFR order dated 21 March 2005 and the BIFR orders dated 11 March 2004 and 14 December 2004. It argued its statutory obligation to recover tariff (Section 45 read with Section 14 and Chapter VII of the Act of 2003) precluded the waiver. The company contended the Corporation had been heard and had consented to the scheme, was bound under Section 32(1) SICA, had not appealed, and had approached the Court after inordinate delay.

REUSABLE CONSTRUCTIONS

1. A distribution licensee that was heard during, and consented (within Section 19(2) SICA) to, a BIFR-sanctioned rehabilitation scheme directing waiver of demand charges is bound by that scheme and by the BIFR/AAIFR orders; its statutory obligation under Section 45 of the Electricity Act, 2003 to recover charges per the UPERC tariff does not entitle it to resile from the waiver, and a challenge mounted years later will not be entertained. ¶ ¶¶ 11-12

2. The remedy against a BIFR order or a BIFR show-cause notice lies in appeal to the AAIFR under Section 25 SICA; a licensee that bypasses that statutory remedy and, after an inordinate delay of four to five years, files a writ is not entitled to the High Court's discretionary interference. ¶ ¶ 12
3. Indian Maize and Chemical Ltd. v. State of U.P. is distinguishable where the concession flows from a rehabilitation scheme actually sanctioned by the BIFR after hearing the licensee, as opposed to a concession claimed outside any BIFR-sanctioned scheme. ¶ ¶ 11

HOLDING-UNITS

INTERPLAY · EA2003::45

RATIO

Licensee's tariff-recovery obligation vs. a binding BIFR-sanctioned demand-charge waiver

QUESTION

Can a distribution licensee resist a BIFR-sanctioned rehabilitation scheme's direction to waive demand charges by invoking its obligation under the Electricity Act, 2003 to recover charges as per the UPERC tariff?

HOLDING

No. Although a licensee under Section 14 of the Act of 2003 is obliged to demand charges per the tariff fixed by the UPERC (Section 45; Chapter VII), where it participated in and was heard during the sanction of a rehabilitation scheme under Section 18 SICA (and was represented at the appellate stage), consented to the scheme within the meaning of Section 19(2) SICA, and did not challenge the sanctioning/clarificatory orders, it is bound by the scheme and by the BIFR/AAIFR orders directing waiver of demand charges and cannot resile from that waiver years later. The reliance on Indian Maize and Chemical Ltd. was distinguished because there the scheme had not been sanctioned by the BIFR, whereas here the Corporation was heard. The Court declined to interfere. ¶ ¶¶ 11-12

EVIDENCE *"There was consent of the petitioner to the Scheme sanctioned as per the statutory mandate of Section 19 (2) of SICA."* ¶ ¶ 12

EVIDENCE *"the sanctioned Scheme was substantially implemented by all the parties except the petitioner Corporation and on account of diligent and dedicated endeavours of the employees of the company in implementing the sanctioned scheme, the company turned into profits. In such circumstances, the Court is not inclined to interfere in the matter."* ¶ ¶ 12

INTERPLAY · OFFTOPIC::sica-alternate-remedy-and-laches

RATIO

Writ not maintainable: unavailed statutory appeal under Section 25 SICA and inordinate delay

QUESTION

Was the licensee's writ against the BIFR/AAIFR orders maintainable given the statutory appeal to the AAIFR under Section 25 SICA and the delay in filing?

HOLDING

No. An efficacious statutory remedy of appeal to the AAIFR under Section 25 SICA was available to the Corporation — including to assail the show-cause notice dated 25 February 2008 — which it did not avail; and the writ was filed in 2009, almost five years after the BIFR orders of 2004 and almost four years after the AAIFR order of 21 March 2005. On both counts the Court was not inclined to exercise its writ jurisdiction and dismissed the petition. ¶ ¶¶ 11-12

EVIDENCE *"even the remedy was available to the petitioner Corporation to assail the show cause notice dated 25.2.2008 before the AAIFR under Section 25 of SICA"* ¶ ¶ 12

EVIDENCE *"The instant writ petition had been preferred in the year 2009 i.e. almost five years after the orders of the BIFR dated 11.3.2004 and 14.12.2004 and almost four years after the order of the AAIFR dated 21.3.2005."* ¶ ¶ 11

PRINCIPLE TAGS

sica-scheme-binds-participating-licensee A licensee heard during and consenting to a BIFR-sanctioned scheme (Sections 19(2) and 32(1) SICA) is bound by its demand-charge waiver and cannot invoke its Electricity Act tariff-recovery obligation to escape it. Lead authorities: *M/s Indian Maize and Chemical Ltd. v. State of Uttar Pradesh*. ¶ ¶¶ 11-12

alternate-remedy-and-laches-bar-writ Availability of a statutory appeal to the AAIFR under Section 25 SICA and a four-to-five-year delay were each a sufficient ground to decline writ jurisdiction. ¶ ¶¶ 11-12

NOT DECIDED — THE QUANTIFICATION, ADJUSTMENT OR REFUND OF THE ALLEGED EXCESS PAYMENT (RS. 51,53,550) CLAIMED BY THE COMPANY

That claim was the subject of the pending BIFR proceedings on the company's application; the writ court did not adjudicate it, dismissing the licensee's writ and leaving the BIFR/AAIFR orders intact. ¶ ¶ 11

RELATED CASES — SEE ALSO

SCJ-068 — Also declines writ interference on delay-and-laches / writ-discipline grounds where a consumer sought to reopen matters it had accepted under a settlement scheme — the same laches-and-binding-scheme reasoning applied here to a licensee.

SCJ-001 — Companion instance of a distribution licensee's recovery stance being cabined by a governing instrument — there the licensee could not invoke a Supply Code clause to keep billing contrary to the arrangement; here it could not invoke its tariff obligation to escape a BIFR-sanctioned waiver.

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>M/s Indian Maize and Chemical Ltd. v. State of Uttar Pradesh</i> 1997 (9) SCC 462 Supreme Court of India	Relied on by the Corporation for the contention that the demand-charge relief was not in consonance with the Electricity Act / with the directions of the Apex Court and that a licensee cannot be compelled to grant concessions contrary to law.	Distinguished on the ground that in that case the scheme had not been sanctioned by the BIFR, whereas here the petitioner Corporation was heard while the scheme was sanctioned on 11 March 2004 and was represented at the appellate stage. ¶ ¶ 11	Petitioner	Distinguished

SCJ-1061 · U.P. Power Corporation Ltd. v. Appellate Authority for Industrial & Financial Reconstruction & Ors. · · Supply Code Jurisprudence

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.